CHAPTER TWENTY-FIVE

ANYTHING BUT ‘NANO’

Conceiving the Nano

Cars evoke various emotions in people. Until the 1950s, they were the proud possessions of the wealthy. For the common man, they were aspirational. Several car companies strove to fulfil this yearning by encouraging the production of smaller and more affordable models. In Germany the Volkswagenwerk GmbH or ‘The People’s Car Company’, established in 1937, was such an enterprise. It produced the world-famous Beetle, which became the fourth most-sold car of all time. The erstwhile USSR forged a collaboration with Italy in the 1960s to produce a small car called the Lada, the Soviet version of the Fiat 124. These two cars became the most recognized efforts in the world to build a common man’s car.

Indians were, however, less fortunate. As the nation ushered in the twenty-first century, India had become the fifth-largest economy in the world in terms of purchasing power parity. Yet, it only had an appalling eleven cars per one thousand people (in 2002), which was even lower than the ratio of its poorer neighbours, Bhutan and Sri Lanka. The per capita income for 2003–04 was Rs 20,871. At the time the Maruti 800, the cheapest car in the Indian market, cost nearly Rs 1.88 lakh or nine times the average annual income. Consequently, an average Indian’s dream to buy a car remained largely unfulfilled. They would travel mostly on two-wheelers, often squeezing an entire family onto it. It fell upon the country’s most famous industrialist and automobile enthusiast, Ratan Tata, to create a people’s car for India. This came about in the breaking years of this century, in the shape of the Nano car. He stood alone in trying to fulfil this social goal as a private individual, as in other nations, such initiatives were taken by the government.